

MEMORANDUM OF UNDERSTANDING

This Tripartite **Memorandum of Understanding** ("MOU") is signed on this the 8th day of December, 2015 between **Office of Development Commissioner, Ministry of Micro, Small and Medium Enterprises, Government of India**, hereinafter referred to as "MSME", having its office at 7th Floor, A-Wing, Nirman Bhawan, New Delhi-110 108, through its authorized signatory, which expression shall, where the context so admits, include its successors to office and assigns, of the **First Part**.

AND

Ministry of Textiles, Government of India, hereinafter referred to as "MoT", having its office at Udyog Bhawan, New Delhi-110 011, through its authorized signatory, which expression shall, where the context so admits, include its successors to office and assigns, of the **Second Part**.

AND

M/s. National Textile Corporation Limited, a public sector undertaking under the administrative control of Ministry of Textiles, Government of India ("MOT"), hereinafter referred to as "NTC", having its registered office at _Scope Complex, Core-IV, 7 Lodhi Road, New Delhi-110 003, through its authorized signatory, which expression, unless repugnant is contrary to the context, shall mean and include its successors and permitted assigns, of the **Third Part**.

MSME, MoT and NTC shall hereinafter collectively be referred to as the Parties and individually as Party.

WHEREAS MSME has been implementing a Programme titled "*Technology Centre Systems Programme*" ("TCSP") under which 15 new Technology Centres ("TC") are to be established in the country and the existing TCs are to be upgraded.

AND WHEREAS the total estimated cost of the Programme is Rs.2200.00 crore (including a World Bank loan assistance of USD 200 million). The TCSP is likely to be fully implemented over a period of six years.

AND WHEREAS under the approved arrangements, requisite land for the TC is to be made available by NTC for the purpose by the collaborating partner. The cost of construction of buildings, procurement, installation and commissioning of machinery and equipment and the operating costs are to be borne by MSME.

AND WHEREAS taking inspiration and guidance from the Hon'ble Prime Minister's vision of 'Make in India,' the MSME and NTC through such collaboration shall utilize the land of a closed NTC Mill in Uttar Pradesh to provide much needed technological and skilled manpower support to Textile and alike industries through facilities set up and operated by the MSME on such land, thereby fulfilling a desired public purpose.

AND WHEREAS the benefits of the skill development facilities will be offered at concessionary rates to both existing and former NTC employees, thereby ensuring the enhancement of employability of the NTC workforce, including those workers who had to face displacement on account of the industrial sickness of the NTC.

AND WHEREAS the facilities operated by MSME shall also provide much-needed technical training to the youth for maintenance of the technology used at various stages of the manufacturing process in the textile industry. The facilities shall also provide a vital avenue for developing an expertise for the manufacturing of spare parts, through which exercise even NTC shall benefit as it faces a severe problem in respect of maintenance and servicing of its existing machinery, specially in respect of obtaining spare parts.

AND WHEREAS this collaboration with the MSME would establish NTC's commitment to provide much needed technological and skilled manpower support to textile and alike industries, in line with NTC's shared vision with the Government of India, to shape policy and objectives for the public purpose of creating an excellent Indian skilled manpower at par with the best in the world.

AND WHEREAS while, MoT, MSME and NTC are conscious of the statutory regime that governs the usage of nationalized properties vested in the NTC, however the parties commit themselves to a collaboration to set up a TC in one of NTC's unused Mill lands in compliance with all statutory norms, given that:

- a. the proposed TC would remain a completely governmental venture; and
- b. public purpose will be sub-served through the establishment of the TC in a land which is presently unused.

NOW THEREFORE, both the Parties agree to the establishment of a TC under TCSP in the premises of an identified NTC mill at Kanpur, Uttar Pradesh on the following terms:-

(i) The ownership, rights and the title of land for establishing a Technology Centre at NTC, Kanpur under Technology Centre System Programme will continue to remain vested with the NTC and will not be alienated. The MoU seeks to establish the Technology Centre on a partnership basis involving MoT, NTC and M/o MSME.

(ii) That as textile nationalization statutes such as Section 11A of the Sick Textile Undertakings (Nationalisation) Act, 1974 and other analogous laws, mandate that land vested in NTC through various Nationalization Acts can only be transferred for proceeds and that too for the specific purpose of better management, modernization, restructuring or revival of the sick textile undertaking, the parties are agreed that to ensure compliance with such applicable law, there shall be no transfer of the land and on which the TC shall be established and that ownership of such land shall continue to remain with the NTC. That such land shall only be made available in the form of a license to be issued to the MSME or any authority or delegate constituted by it for effectuating the objective of this MOU (hereinafter "Project Vehicle").

(iii) The continuation, modification or discontinuation of the use of the land shall be in accordance with applicable law and, in particular, the provisions of the relevant textile nationalization law whereunder the said land had vested in the NTC. NTC or MSME shall make best efforts to ensure that

any such issue relating to user of the land is decided keeping in view the interest of all stakeholders as per relevant rules and regulations in mutual agreement of the parties. Failing mutual resolution, both parties shall refer any dispute or disagreement for resolution in terms of clause (xi) of this MoU.

(iv) The Project Vehicle will be an autonomous body under the administrative control of MSME. The TC shall be managed by a Governing Council of the Project Vehicle constituted by Central Government under the Chairmanship of AS&DC(MSME). The Governing Council apart from regular members shall have representatives from Textile Ministry and NTC. The JS, MoT shall be the Co-chairman and CMD, NTC a member of this Governing Council.

(v) The employees shall be engaged by MSME following approved rules and procedures and it is agreed between the parties that NTC shall not, in any manner, be liable in respect of such employees engaged by the Project Vehicle or MSME.

(vi) That the TC will primarily serve the textile mills, textile machinery, technical textile, eco-textile and allied industries by facilitating access to
Latest manufacturing technology, including
operation and maintenance of machinery,
Skilled manpower,
Business and technical advisory services, etc.

(vii) The services provided by the TC will be on payment basis in order to make it self-sustainable over a period of time. The TC may consider special concessionary rates or fee exemptions for past or present NTC employees and also for candidates who are from the Scheduled Castes or Scheduled Tribes or Other Backward Classes. The budgetary shortfall of the TC, if any, shall be made up by grants in aid to be provided by the MSME and it is agreed between the parties that NTC shall have no financial responsibility towards construction, operationalization and management of the TC.

(viii) Subject to the securing of approval of the Central Government, as may be necessary under the applicable textile undertaking nationalization statute, the NTC shall execute definitive agreements that would morefully address the following, among other issues (a) the modalities for the identification of the land for the TC; and (b). the specific terms and conditions for such venture.

(ix) The parties hereby agree and undertake to save, indemnify and hold harmless to each other, their Directors, officers, employees and agents from and against any course of action / liabilities and consequences which arise directly or indirectly from any breach of this MOU.

(x) This MOU constitutes the entire understanding between the Parties and may not be modified, amended except as mutually agreed in writing and signed by both the parties.

(xi) Any dispute or difference between the parties arising out of or in relation to this MOU or any incidental matter thereof shall be resolved amicably between the Parties. In case any issue remains unsettled, the same would be referred for settlement jointly by Secretary, MSME and Secretary, Textiles, whose decision will be final and binding on both the parties.

Signed at New Delhi on this day as mentioned above.

For and on behalf of For and on behalf of For and on behalf of

First Party



Shri R.K. Rai,

Director (TR)

Office of DC (MSME),

Ministry of MSME,

Government of India

Second Party



Shri S.R. Gaikwad,

Director,

Ministry of Textiles,

Government of India

Third Party

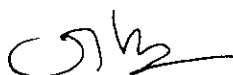


Shri Pankaj Aggarwal,

Company Secretary,

M/s National Textile

Corporation (NTC)



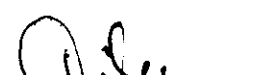
Witness:

(JAIPAL SINGH)
DY. DIR (TR)



Witness:

(ANIL KUMAR)
US (NTC)



Witness:

L.D. PANDEY
Assistant Manager (AM)